



Alibaba Group
September Quarter 2025 Results
Conference Call
Transcript

Tuesday, 25 November 2025

Introduction

Lydia Liu

Head of Investor Relations, Alibaba Group

(Original)

Good day everyone. Welcome to our September Quarter 2025 earnings conference call. With me today from Alibaba are Joe Tsai, Chairman; Eddie Wu, Chief Executive Officer; Toby Xu, Chief Financial Officer; Jiang Fan, Chief Executive Officer of Alibaba E-Commerce Business Group.

I would like to remind you that this call is also being webcast on our corporate website. A replay of the call will be available on our website later today.

Now I will quickly cover the Safe Harbor. Today's discussions may contain forward-looking statements, particularly statements about our business and financial results, that are subject to risks and uncertainties, which could cause actual results to differ materially from those contained in the forward-looking statements. Please refer to the safe harbor statements that appear in our press release and investor presentation provided today.

Please note that certain financial measures that we use on this call are expressed on a non-GAAP basis. Our GAAP results and reconciliations of GAAP to non-GAAP measures can be found in our earnings press release.

With that, I'm going to turn the call over to Eddie.

Group Business Update

Eddie Wu

CEO, Alibaba Group

(Translation)

Welcome to Alibaba Group's quarterly earnings call.

Over the past quarter, Alibaba delivered steady and healthy growth. Our total revenue increased 15% year-over-year, excluding Sun Art and Intime. Our continued investment in core businesses is yielding results, with China e-commerce CMR growing 10% year-over-year and Cloud Intelligence revenue rising 34% year-over-year.

Let me walk you through the latest developments across our AI + Cloud and consumption businesses.

Sustained strong demand for AI and revenue growth from public cloud drove Alibaba Cloud's 34% revenue growth this quarter, while revenue from external customers accelerated by 29%. AI-related products continued to post triple-digit year-over-year growth for the ninth consecutive quarter.

In the cloud computing market, two major trends are becoming increasingly apparent. First, as AI applications scale, more developers and enterprise customers are choosing vendors with full-stack AI technology portfolios. Second, customers are deepening and broadening their use of AI, which is significantly increasing demand for compute, storage, database and other traditional cloud services. Together, these forces are accelerating revenue growth driven by external customer demand.

This quarter, we continued to strengthen our full-stack AI capabilities, spanning high-performance AI infrastructure, foundation models, and AI development frameworks. Our flagship model, Qwen3-Max, ranks among the global leaders in benchmarks for real-world coding tasks, agent tool use capabilities, and other specialized evaluations.

Our full-stack AI capabilities are now a defining competitive advantage. Alibaba Cloud is gaining market share across multiple segments: in the hybrid cloud market, Alibaba Cloud has become a key player, growing more than 20% year-over-year, outpacing the industry, and steadily expanding market share. Our financial cloud business is also growing faster than the market, with market share continuing to rise. In China's AI cloud market, we are also the clear leader, with a market share larger than the combined total of the second-to-fourth largest providers. Recently, businesses such as the NBA, Marriott, China UnionPay, and Bosch have partnered with Alibaba Cloud on AI initiatives.

Last week, we officially launched the Qwen app, which aims to be the most advanced personal AI assistant powered by our latest models. In the first week of its public beta, the Qwen app has already surpassed 10 million in new downloads.

The launch of the Qwen app marks Alibaba's commitment to both AI for enterprise and AI for consumer. In enterprise-focused AI, our goal is to build a world-leading full-stack AI provider serving businesses across all industries. For consumers, we aim to build native AI super-applications by leveraging our best-in-class models and Alibaba's extensive ecosystem.

On the one hand, Qwen3-Max's world-class intelligence and tool-use capabilities, combined with Alibaba's rich consumer and lifestyle use cases, contributed to exceptional user retention in the Qwen app's beta release. We believe this is the right moment to scale our consumer AI efforts.

On the other hand, the synergy between AI and the broader Alibaba ecosystem is a powerful multiplier. Alibaba is the only company in China with both a leading large model and extensive lifestyle and commerce use cases. Qwen will gradually integrate e-commerce, map navigation, local services, and more, becoming an AI-powered entry point for everyday life. With AI innovation and ecosystem collaboration reinforcing each other, we are confident in our ability to deliver substantial user value.

In consumption, we continue to deepen collaboration across businesses, and the benefits of our large integrated platform are becoming increasingly evident.

This quarter, China e-commerce CMR grew 10%. Our quick commerce business saw significant improvement in unit economics (UE) with greater fulfillment efficiency, stronger user retention and higher average order value (AOV). The growth of quick commerce business contributed to rapid growth in the Taobao app's monthly active consumers and supported CMR expansion.

Brands on Tmall are also accelerating their adoption of on-demand retail. As of October 31, approximately 3,500 brands on Tmall have onboarded their offline stores to our quick commerce business. Going forward, we will further enhance synergy between quick commerce and the broader Alibaba ecosystem, continue improving UE, and meet consumers' fast-growing demand for immediate access to diverse products and services.

On October 1, Amap's daily active users reached a historical high of 360 million. In September, we launched the Amap Street Stars feature, which has significantly boosted user engagement. In October, Amap Street Stars averaged more than 70 million daily active users, with average daily user reviews more than triple the amount of the same period last year, indicating strong future growth potential. Amap Street Stars has built a trust-based rating system for local offline services using user-consented metrics, such as user behavior and the user's credit rating. We believe that enhancing consumer trust is essential to strengthening consumer confidence, enabling merchants to focus on operations while giving consumers greater peace of mind, supporting the healthy and sustainable growth of the local offline services sector.

Looking ahead, we will continue investing decisively in our two core strategic pillars, AI + Cloud and consumption. We will advance both enterprise and consumer-focused AI, unlock deeper synergies across Alibaba's businesses, and use these engines to drive Alibaba's long-term growth and carry the company to the next level.

Thank you. I will now hand over to Toby.

Financial Highlights

Toby Xu

CFO, Alibaba Group

(Original)

Thank you, Eddie.

We are continuing our focus and discipline on AI + Cloud and consumption, and we see strong momentum from these strategies with gains in technology, market share, consumers, and user engagement.

Now, let us look at the financial results. On a consolidated basis:

Total revenue was RMB247.8 billion. Excluding revenue from Sun Art and Intime, revenue on a like-for-like basis would have grown by 15% year-over-year.

Total adjusted EBITA decreased 78%, primarily due to our strategic investments in quick commerce business to grow its user base and transaction volume, partly offset by double-digit revenue growth in China E-commerce Group and Cloud Intelligence Group, and improved operating efficiencies across various businesses, including AIDC and Hujing DME.

Our GAAP net income was RMB20.6 billion, a decrease of 53%, primarily attributable to the decrease in income from operations.

Operating cash flow was RMB10.1 billion, a decrease of RMB21.3 billion compared to the same quarter last year. The year-over-year decrease was mainly attributed to our increased strategic investments in quick commerce business.

Free cash flow was an outflow of RMB21.8 billion, which reflected our significant investments in quick commerce business and AI + Cloud infrastructure. We are re-investing our free cash flow to create a winning quick commerce business and to be a leader in AI.

Our strong balance sheet, backed by USD41 billion in net cash, gives us confidence for this reinvestment strategy.

Revenue from Alibaba China E-commerce Group was RMB132.6 billion, an increase of 16%. Customer Management Revenue increased by 10%, primarily due to the improvement of take rate, which benefited from the increasing penetration of Quanzhantui and the addition of software service fees. Revenue from our quick commerce business increased 60%. During the quarter, we executed our plan to grow the scale of our quick commerce business, improve user experience and narrow UE loss.

The adjusted EBITA from Alibaba China E-commerce Group was RMB10.5 billion. Excluding loss from our quick commerce business, our Alibaba China E-commerce Group EBITA would have grown at mid-single-digit year-over-year for the quarter. Going forward, this adjusted EBITA may fluctuate quarter-over-quarter due to intense competition and significant investment in user experience.

Revenue from AIDC grew 10%. AliExpress in particular has developed its "AliExpress Direct" model that leverages local inventories in over 30 countries. AliExpress has also enhanced the range of our product offerings by launching the "Brand+" program, providing go-to-market solutions to Chinese brands going overseas.

A combination of logistics optimization and investment efficiency enhancement resulted in AIDC's adjusted EBITA profit of RMB162 million this quarter.

Looking ahead, while we continue to enhance operating efficiency, AIDC adjusted EBITA may fluctuate quarter-over-quarter due to tactical investments in select markets.

Our Cloud business delivered another quarter of accelerated growth, as both growth of Cloud segment revenue and revenue from external customers accelerated to 34% and 29% respectively. This momentum was primarily driven by public cloud revenue growth, including the increasing adoption of AI-related products.

AI-related product revenue continued to grow at a triple-digit pace. AI-related product revenue this quarter accounted for over 20% of revenue from external customers, with its contribution continued to increase. We are seeing accelerated adoption of our AI products across a broader range of enterprise customers with a growing focus on value-added applications, including coding assistance.

The adjusted EBITA margin remained relatively stable at 9%. We will continue to invest in customer growth and technology innovation to increase adoption of AI infrastructure cloud and strengthen our market leadership.

All Others segment revenue was a decrease by 25%, mainly due to the disposal of Sun Art and Intime businesses. All Others adjusted EBITA with a loss of RMB3.4 billion, primarily due to the increased investment in technology businesses, partly offset by the improved operating results of other businesses. Hujing DME has achieved profitability for three consecutive quarters.

The All Others segment comprises a set of innovative initiatives, including several strategic AI-driven technology infrastructure and businesses, including our foundation model and AI apps. We are excited to continue investing in these initiatives for future growth.

Thank you. That's the end of our prepared remarks. We can open up for Q&A.

Q&A

Lydia Liu:

(Original)

Hi, everyone. For today's call, you are welcome to ask questions in Chinese or English. A third-party translator will provide consecutive interpretation for the Q&A session. Please note that the translation is for convenience purpose only. In the case of any discrepancy, our management statement in the original language will prevail. If you are unable to hear the Chinese translation, bilingual transcripts of this call will be available on our website within one week after the end of the meeting.

Gary Yu (Morgan Stanley):

(Original)

Congratulations on a strong set of results.

My question is related to cloud business. How should we look at the growth outlook going forward? Should we continue to expect growth to accelerate? And on the demand side, given we do not have a big AI company like in the U.S., how should we look at the key driver driving the external revenue growth going forward?

Eddie Wu:

(Translation)

We are seeing very strong customer demand for AI. In fact, the pace at which we can deploy AI servers significantly lags behind the growth rate of customer orders. As a result, our order backlog continues to expand. So based on current data, we can see that this demand growth is accelerating.

As for where that demand is coming from, we are seeing very rapid growth across all aspects of enterprise applications. For many companies we serve, AI demand is penetrating more deeply across all parts of their operations, from product R&D through the manufacturing process, and extending to the daily use of their products by their end customers.

And all of these activities --- from model training to inference and end user utilization of the AI products these companies are developing --- require cloud computing power. Consequently, we

see significant potential in real, revenue-generating customer demand, which continues to grow. We therefore are highly confident in future AI demand.

Kenneth Fong (UBS):

(Original)

Congrats on the strong performance in our quick commerce initiative.

Can management share some key progress for quick commerce and synergy to our core e-commerce so far? Given the synergy, what is the outlook for December Quarter CMR and EBITA for our core e-commerce?

Jiang Fan:

(Translation)

Thank you for your question. Over the past few months, we have been focusing on optimizing our UE while maintaining market share. We believe that we've made very significant progress on this front. The order mix has improved, and growing scale has driven substantial reductions in logistics costs. Since November, the UE loss for quick commerce has been cut by half compared to July-August. On this basis, our quick commerce has maintained stable order share, with GMV share holding steady and trending upward, and we are also seeing meaningful uplift in related physical e-commerce categories.

Let me expand on those points a bit further.

First, in terms of order mix optimization, over the past two months the share of higher AOV orders has increased. According to the latest data, non-beverage orders now account for over 75% of total orders. Most recently, our quick commerce AOV is up by double digits compared to August. Higher AOV has also driven an increase in our quick commerce GMV share.

Second, as our order share expands, our quick commerce is realizing very clear economies of scale in fulfillment logistics. Delivery fulfillment speed is now faster than the same period last year, while average fulfillment cost per order has declined significantly. In fact, the average fulfillment cost per order is now lower than it was before we started making large-scale investments in Taobao Instant Commerce.

Together, these two factors have enabled us to achieve our short-term target of cutting per-order losses by half versus July-August. And during this process of narrowing UE losses, user retention and purchase frequency have both outperformed expectations.

Beyond food delivery, we are also seeing rapid growth in non-food categories via quick commerce. Quick commerce is clearly driving growth across related categories and businesses, especially in groceries, healthcare products, and supermarket segments within physical

categories. For example, orders for Freshippo and Tmall Supermarket on the quick commerce channel are up 30% from August. Over recent months, we have also actively onboarded brands and merchants onto Taobao Instant Commerce, and we will further accelerate integration and synergy between these retail categories and quick commerce going forward.

Overall, we firmly believe that the quick commerce business holds immense potential for synergy with the broader Alibaba ecosystem. In Phase 1, we successfully achieved rapid scale expansion. In Phase 2, UE optimization is progressing in line with our expectations, laying a solid foundation for the long-term sustainable development of the quick commerce business and reinforcing our determination to make long-term investments in quick commerce. In the next phase, we will continue to refine the user experience through operational upgrading, with a focus on engaging high-value users and on expanding retail categories.

Quick commerce is a core strategic pillar in the platform upgrade of Taobao and Tmall. Our goal is to generate RMB1 trillion in GMV for the platform within three years, thereby driving overall market share gains across the relevant categories.

Toby Xu:

(Translation)

Let me take the second part of your question about the fluctuations in CMR and EBITA. As Jiang Fan just shared, quick commerce is clearly driving user engagement and transactions in relevant categories. Therefore, it also has a positive impact on CMR. Going forward, our main priority is to better integrate conventional e-commerce and quick commerce so as to unleash greater synergy.

In terms of the EBITA outlook for the China Ecommerce Group, let me first address quick commerce EBITA. We have been making major investments in quick commerce. These should peak in the September Quarter and as efficiency improves, with significant UE improvement and stable business scale, we expect the size of those investments to decline significantly next quarter (specifically, we expect the EBITA loss will significantly narrow in December Quarter). Of course, having said that, we will dynamically adjust our investment strategy based on the competitive landscape.

When it comes to CMR in the e-commerce business, this will be primarily affected by the base effect from the Software Service Fee as well as Quanzhantui. As we started charging the Software Service Fee from September of last year, we can expect to see a slowdown next quarter. As we have consistently emphasized, our primary objective is to secure market share over the medium and long term. To that end, we will continue to invest decisively in consumers and in merchant growth, and will resolutely advance the upgrade of our e-commerce platform's business model. During this process, there will be short-term fluctuations in CMR and in EBITA.

Alex Yao (JP Morgan):

(Translation)

As Jiang Fan just discussed, we have concluded the first phase of investment and are now in the second phase, focused on enhancing efficiency.

My question is: as efficiency improves and cost savings are realized, how are you thinking about allocating the benefits of those cost savings among the key stakeholders in the value chain? For example, if consumer subsidies are maintained at their current intensity and financial improvements are gradual, what will happen to the merchant subsidy ratio? How will the cost savings be reflected and distributed among the three key stakeholders?

And a related question: assuming we do not reduce consumer subsidies and continue on the current path of optimizing user mix and increasing the proportion of high-value orders, etc., how much room is there for continued UE improvement?

Jiang Fan:

(Translation)

It relates to some of the points I shared earlier. The improvement in UE during this period has been primarily driven by an increase in AOV. That entails a rise in our revenue per order, since revenue is linked to AOV. Also, as I shared earlier, our logistics efficiency has improved significantly with scale.

Looking ahead, I see considerable potential. On the consumer side, much of the growth over the past few months has come from new customers. As they develop higher stickiness with our platform, we will further increase AOV and adjust our approach to subsidies. At the same time, traffic on Taobao has risen rapidly over the past few months. The Instant Commerce channel, in particular, now attracts over 100 million daily users. So there remains substantial potential for monetization, representing another future opportunity for UE enhancement. Of course, this is a highly competitive market, so we will continue to evaluate our opportunities and adjust our strategies dynamically in line with market competition.

Ronald Keung (Goldman Sachs):

(Translation)

I would like to ask about CapEx over the next three years. How should we be thinking about the RMB380 billion figure you previously mentioned, especially given that RMB 120 billion has already been spent over the past four quarters? And how should we think about the ratio of incremental core business revenue driven by this CapEx? What is the outlook for the ratio of incremental revenue that will be driven by CapEx going forward?

Eddie Wu:

(Translation)

The RMB380 billion CAPEX figure that we had previously given was actually a three-year plan. However, based on what we are seeing now --- and as I noted earlier --- the pace at which we can add new servers still falls far short of the growth in customer orders.

At this point, in the face of supply-chain constraints, we are working as fast as we can to meet customer demand in terms of our pace of data-center build-outs and server deployment. But if we are unable to satisfy that demand adequately under these circumstances, we do not rule out further increasing our investment. Although the broader supply chain is currently being impacted by various factors, overall, we will remain proactive in investing in AI infrastructure to meet our customers' needs.

From a big picture perspective, the RMB 380 billion figure we had given earlier may prove to be on the small side, given the level of customer demand we are now seeing.

As for how to calculate the ratio of incremental revenue generated by our capital expenditures, it's difficult for us to make that kind of estimate at present, since the AI industry as a whole is still at a relatively early stage of development and the utilization of our AI infrastructure is evolving across a number of different areas. For example, we have servers that are directly leased to customers for training, and others that are directly leased to customers for inference. We also utilize servers ourselves for inference on our Bailian platform, as well as for our own internal applications within Alibaba Group like Amap, Taobao, Qwen, and Quark, where AI capabilities are being converted into member services or membership-based products.

Because of the diversity of these use cases for our AI infrastructure, the resulting levels of revenues and gross margin will vary. So, at present, I think that ratio is unlikely to be very stable. Over the longer term, what we care about more is the quality of the tokens generated by our infrastructure and their cost efficiency.

Ellie Jiang (Macquarie):

(Translation)

This is more of a follow-up. As a full-stack AI service provider, clearly you are currently in a major investment cycle, with investments spanning multiple segments of the value chain. Given the ongoing volatility in the supply chain, how are you thinking about allocating resources --- particularly between the Model-as-a-Service (MaaS) layer, where you continue to strengthen foundational capabilities, and the application side, where we're seeing accelerated iteration and rollout of products like the Qwen app and Amap?

And in the current macro environment, how should we evaluate the industry's return on invested capital (ROIC) for AI, for both training and inference?

Eddie Wu:

(Translation)

Indeed, as a full-stack AI service provider, we are currently in the midst of a major AI investment cycle, and our products and our infrastructure can be applied across multiple different areas. But when it comes to how we prioritize resource allocation, we do have several internal considerations which I can share with you.

Among our top priorities, the first is foundation model training. That's essential, because for our AI infrastructure to attract more customers and serve more high-value use cases, our model capabilities must continuously iterate and improve. Only by doing that can we acquire more users and unlock more use cases. As we unlock more high-value use cases, token consumption and token quality will increase over time, as will customers' willingness to pay for those tokens. So, this is one of our higher priorities.

Another priority is inference services on our Bailian platform. Since Bailian serves customers globally, to maximize AI resource efficiency we need 24/7 utilization with effective load balancing. Our goal is for each AI server to run at full capacity around the clock to generate maximum tokens. Expanding the Bailian resource pool is therefore also a high priority.

After those come AI inferencing demands from our own internal businesses as well as from external customers. But when it comes to external customers, we will prioritize them based on the depth of their engagement. For example, those who utilize our cloud services comprehensively --- spanning storage, big data, and CPU resources --- will receive higher priority. Customers who simply wish to rent GPUs for basic inference tasks will be assigned a lower priority.

Moving on to your second question, which is a very good one. We view this issue from two main angles.

First is the demand side, where we see two very clear drivers. The first of these is the continuous improvement in the capabilities of foundation models --- whether video generation models or omni-modal models going forward. The scaling law trend continues, and nobody in the industry has hit the wall yet, so to speak. We've seen a lot of breakthroughs with Gemini 3.

As AI models become more powerful, they will be able to do more things in the real world, covering a wider range of use cases. That will result in these models serving more and more tasks across different domains, with increasing penetration across all industries. So driven by these two factors, we see AI demand over the next three years as highly certain.

With such rapid growth in demand, we also need to look at the supply side. I am sure that you as analysts will have noted that starting from the second half of this year, there has been a global supply shortage across every link of the AI server value chain, from fabs to DRAM vendors, to storage vendors and CPU manufacturers. This wave of supply shortages has been driven entirely by AI demand. Looking at the capacity expansion cycles for vendors across the supply chain, we know they face considerable bottlenecks. We believe this expansion cycle will take at least two to three years. During that period, we'll see continued demand growth, but it will be

difficult for the supply side to ramp up quickly. That's why we believe that AI resources will remain undersupplied during these three years. We are seeing this reality on the ground. Within the industry --- including ourselves as well as the hyperscalers in the U.S. --- not only are all of the latest GPUs basically running at full capacity, but the last generation GPUs, and even GPUs from three to five years ago, generations back, are also all running at full capacity. So we don't really see any so-called AI bubble over this three-year horizon.

Jialong Shi (Nomura Securities):

(Translation)

In the last earnings call, management shared that Alibaba intends to grow its market share in China's consumption market, and we have seen that over the past few months, your investments in quick commerce have indeed resulted in an increase in market share. I would like to know: apart from quick commerce, what are the other sub-sectors within the consumption market that you see as promising opportunities, where you might consider scaling up your investments?

Jiang Fan:

(Translation)

Alibaba has been investing strategically in the consumption market over many years, and we have entered numerous different sub-categories and verticals. Apart from quick commerce, where we have been investing heavily this year, we also have businesses like Freshippo, the O2O model for offline supermarkets, Fliggy, and Amap local services that are all part of our portfolio.

What we need to focus on now is better integrating and connecting these businesses to drive stronger synergies and further grow our market share within the broader consumption market.

Lydia Liu:

(Original)

Thank you. Thank you, everyone, for joining us today. We look forward to speaking with you again on our December Quarter earnings call.

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